



December 13, 2024

Representative Tullio Liberati
Chair of the House Government
Operations Committee
P.O. Box. 30036
Lansing, Michigan 48909-7536

Representative Laurie Pohutsky
Vice Chair of the House Government
Operations Committee
P.O. Box 30036
Lansing, Michigan 48909-7536

Representative Bryan Posthumus
Vice Chair of the House Government
Operations Committee
P.O. Box 30036
Lansing, Michigan 48909-7536

Senator Mallory McMorrow
P.O. Box 30036
Lansing, Michigan 48909-7536

RE: Ad Trade Letter in Opposition to Michigan SB 1082

Dear Chair Liberati, Vice Chair Pohutsky, Vice Chair Posthumus, and Senator McMorrow:

On behalf of the advertising industry, we respectfully oppose SB 1082 in its current form, and we offer this letter to express our non-exhaustive list of concerns about this legislation.¹ We and the companies we represent, many of whom do substantial business in Michigan, strongly support the enactment of meaningful privacy protections for consumers. However, as drafted, SB 1082 contains provisions that would have detrimental unintended consequences for Michigan families by impeding new parents' ability to access coupons, advertising, and other messaging regarding helpful and even essential newborn products. In addition, the SB 1082 would permit a private right of action, which would significantly exacerbate the challenges associated with businesses' attempts to comply with its ambiguous terms. The House Government Operations Committee ("Committee") should decline to advance the bill any further in the legislative process.

I. SB 1082 would prevent Michigan families from receiving useful and relevant information about products and services for infants.

As currently defined, the term "reproductive health data" would include any information that could possibly be related—however tangentially—to a consumer's past, present, or future reproductive health status.² The bill similarly broadly defines "reproductive health status" to encompass a far-reaching list of data points that could be linked to or inferred about an individual's reproductive health, including pregnancy status.³ Such definitions could be interpreted to include basic data points, such as the fact that a consumer purchased diapers or signed up to receive promotional notices about infant clothing or formula sales in preparation for the arrival of their

¹ Michigan SB 1082, S06942'24 (S-1) (2023 – 2024 Leg. Sess.), located [here](#) (hereinafter, "SB 1082").

² *Id.* § 1(k).

³ *Id.* § 1(m).

newborn child. This information is not inherently related to consumer reproductive health, but the bill's broad definitions could sweep such information into its ambit. When paired with the bill's onerous consent requirements, such far-reaching definitions are likely to have unintended detrimental impacts on new Michigan parents.

The bill would require Michigan residents to provide consent nearly *every time* a regulated entity collects or shares “reproductive health data,” broadly defined.⁴ Requiring consent before even collecting the wide range of tangentially related health data that falls within the bill's scope would result in significant consent fatigue for Michigan residents instead of providing meaningful privacy protections for consumers. Furthermore, the bill may prevent coupons related to crucial newborn products, such as diapers and formula, that many new parents rely upon from reaching Michigan families, since the data necessary to reach these audiences may not be available due to consent requirements. SB 1082's detrimental—and likely unintentional—consequences would hinder consumers' ability to receive substantial benefits associated with routine and essential data practices while simultaneously placing overly burdensome requirements on regulated entities that collect and process any information that could even vaguely be related to reproductive health.

II. The bill's private right of action is unworkable for consumers and businesses alike.

SB 1082's private right of action would create a complex and flawed compliance system without tangible privacy benefits for consumers.⁵ Allowing private actions would flood Michigan's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.⁶ Additionally, establishing a private right of action would have a chilling effect on the state's economy and encumber businesses' attempts to innovate by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of the law. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.⁷ Beyond the staggering cost to businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based

⁴ *Id.* at § 5.

⁵ *Id.* at § 13(2).

⁶ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, TCPA Litigation Sprawl at 2, 4, 11-15 (Aug. 2017), located [here](#).

⁷ For instance, in the early 2000s, private actions under California's Unfair Competition Law (“UCL”) “launched an unending attack on businesses all over the state.” American Tort Reform Foundation, State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation at 8 (2013), located [here](#). Consumers brought suits against homebuilders for abbreviating “APR” instead of spelling out “Annual Percentage Rate” in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage you to remove the private right of action from SB 1082 and make enforcement responsibility the purview of the Michigan Attorney General alone.

* * *

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.⁸ By one estimate, over 165,000 jobs in Michigan are related to the ad-subsidized Internet.⁹ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4A's
202-355-4564

Lartase Tiffith
Executive Vice President, Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322

CC: Members of the House Government Operations Committee

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP

⁸ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#).

⁹ *Id.* at 128.